

A Quick Reference Guide: US Government Allowable and Unallowable Costs

Overview

This resource provides a quick reference for understanding which costs are allowable, unallowable, and when prior approval may be required under U.S. Government cost principles. It is designed primarily for finance staff, program implementers, and budget managers who need a practical starting point when reviewing or planning costs.

The information summarized here is based on [2 CFR 200 Subpart E](#) and [2 CFR 200.308](#). It is intended as a helpful reference, but it does not replace the official regulations. Users should always consult the full cost principles for complete guidance.

In some cases, more than one cost category may apply to a particular activity. For example, workshop-related costs may require reviewing multiple sections such as [200.432](#), [200.453](#), [200.461](#), and [200.465](#).

Item description	Allowable	Unallowable	Prior approval	Reference
Additional funds needed	Yes		No	200.308
Advertising and public relations	When related to program	When related to organization	No	200.421
Advisory councils	When allocable to award		Yes	200.422
Alcoholic beverages		Yes		200.423
Alumni activities		Yes		200.424
Audit services	Proportionate share	When not in accordance with requirements; when audit not required	No	200.425
Bad debts		Yes		200.426

A Quick Reference Guide: US Government Allowable and Unallowable Costs

Item description	Allowable	Unallowable	Prior approval	Reference
Bonding costs	Yes		No	200.427
Budget revisions above 10% of total award	Yes		Only if stated in award and when the revision	200.308
Change to scope of award	Yes		Yes	200.308
Collections of improper payments	To recover improper payments, overpayments		No	200.428
Commencement and convocation	Only when activity costs are student administration and services	Yes		200.429
Compensation - personal services	Yes		No	200.430
Compensation - fringe benefits	Yes		No	200.431
Conferences	Yes		No	200.432
Contingency provisions	Only when necessary to improve accuracy of the budget	When made for events that cannot be foretold with certainty	No	200.433
Contributions and donations		Yes (when given out)		200.434
Construction - transferring funds between construction/non-construction	Yes		Yes	200.308

A Quick Reference Guide: US Government Allowable and Unallowable Costs

Item description	Allowable	Unallowable	Prior approval	Reference
Cost principles - items requiring prior approval	Yes		No	200.308 200.407 Subpart E
Cost sharing	To change cost share		Yes	200.308
Defense and prosecution of criminal and civil proceedings, claims, and appeals	If costs are proceedings initiated by USG; If costs initiated by other entities as a result of award terms, regulations; costs must meet cost principles	Proceedings brought by staff and organization was found liable; costs for suits against the USG	Yes	200.435
Depreciation	Yes		No	200.436
Employee health and welfare	Yes		No	200.437
Entertainment and prizes	When related to program		Yes	200.438
Equipment and other capital expenditures	Yes		Yes	200.439
Exchange rates	Yes		When need for additional funds	200.440
Fines, penalties, damages, and other settlements	Only when incurred as a result of compliance with the award terms		Yes	200.441
Gains and losses on the disposition of depreciable assets	Must follow disposition requirements			200.443

A Quick Reference Guide: US Government Allowable and Unallowable Costs

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General cost of government		Yes		200.444
Goods or services for personal use	Only housing, housing allowances, living expenses as direct costs	Yes	Yes	200.445
Idle facilities and idle capacity	Only when necessary to meet workload fluctuations	Yes	Yes	200.446
Insurance and indemnification	Yes		No	200.447
Intellectual property	Some costs related to award and USG	Costs not related to award	No	200.448
Interest	Costs related to assets for programs with limitations	Costs related to capital, loans, etc.	No	200.449
Key personnel changes	Yes		Yes	200.308
Lobbying		Yes		200.450
Losses on other awards or contracts		Yes		200.451
Maintenance and repair	Yes		No	200.452
Materials and supplies	Yes			200.453

A Quick Reference Guide: US Government Allowable and Unallowable Costs

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Memberships, subscriptions, professional activity costs	Yes	Country club, social, dining clubs, organization costs	No	200.454
No-cost extension	Yes		Yes	200.308
One time extension	Yes		Yes	200.308
Organization costs	Related to data and evaluation of program	Exercise costs, unionizing	Yes	200.455
Participant support costs	Yes		No	200.308 200.456
Plant and security costs	Yes			200.457
Pre-award costs	Yes		Yes	200.458
Professional service costs	Yes		No	200.459
Program income	Yes		To deduct cost of generating income	200.307
Project director / principal investigator - extended absence	Yes		Yes	200.308
Proposal costs	Must be treated as indirect costs		No	200.460
Publications and printing costs	Yes			200.461

A Quick Reference Guide: US Government Allowable and Unallowable Costs

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Rearrangement and reversion costs	As indirect costs		Yes	200.462
Recruiting costs	Yes		No	200.463
Relocation costs of employees	With limitations		No	200.464
Rental costs of real property, equipment	With limitations		See limitations	200.465
Scholarships, student aid, tuition	Only when award is for training		Yes	200.466
Selling and marketing	Only when approved per 200-421 and needed for the award	Yes	No	200.467
Specialized service facilities	With limitations		No	200.468
Student activity costs		Unless authorized in award	No	200.469
Subaward activities not in the approved proposal	Yes		Yes	200.308
Taxes	If legally required	Taxes for which an exemption is available	No	200.470
Telecommunications and video surveillance	Except for certain restricted items		No	200.471

A Quick Reference Guide: US Government Allowable and Unallowable Costs

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Termination and standard closeout	Except for items usable on other work		No	200.472
Training and education	Yes			200.473
Transportation	Yes		No	200.474
Travel	Yes	Government official travel unless related to award and prior approved	Some dependent travel requires prior approval. Travel of government officials is unallowable except if prior approved.	200.475
Trustees	Yes		No	200.476
Unobligated balances - carry forward to subsequent budget	Yes		Yes	200.308